

Final Project: Budget Issue Analysis – Narayanganj City Corporation

Analyzing the Budgetary Constraints and Revenue Challenges of Narayanganj City Corporation

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1. Introduction

Narayanganj City Corporation (NCC), located near the capital city Dhaka in Bangladesh, is a vital urban local government responsible for providing municipal services to more than 700,000 residents. Like many urban governments in developing countries, NCC faces pressing financial constraints, especially when it comes to balancing rising urban demands with limited fiscal capacity. This analysis explores a key issue in the city's budgeting process: revenue shortfalls and inefficient resource mobilization, which threaten essential services and infrastructure development.

2. Background of the Budgetary Process in NCC

The annual budget process of NCC involves revenue estimation, expenditure planning, public consultation, and final approval by the city corporation board. The primary sources of revenue include:

- Holding taxes (property taxes)
- Trade license fees
- Municipal market rents
- Grants from the central government
- Development project assistance (often from international donors)

Major expenditures include waste management, road maintenance, health and sanitation, and education infrastructure.

Despite a formal budgeting process, Narayanganj suffers from low tax compliance, limited local revenue generation, and high dependency on central government transfers.

3. The Budgetary Dilemma: Revenue Gap and Urban Pressure

In fiscal year 2022–2023, NCC projected a budget of 1,500 crore BDT but managed to collect only around 950 crore BDT—falling short by more than 35%. The mismatch between planned and actual revenues has become a consistent problem, resulting in delays in service delivery and unfinished infrastructure projects.

Key contributing factors include:

- Outdated property valuation for holding taxes
- Poor tax collection systems
- Political pressure not to increase fees or enforce tax laws
- Limited financial autonomy in setting rates and user charges

This revenue gap reflects a structural imbalance between assigned responsibilities and available fiscal tools, a common theme in intergovernmental relations.

4. Course Concepts Incorporated

a. Revenue Adequacy and Elasticity

NCC's revenue system lacks elasticity—the ability to grow with the economy. Holding taxes have not been revalued in years, failing to reflect rising property values. This undermines the principle of revenue adequacy, limiting the city's capacity to meet growing urban needs.

b. Vertical Fiscal Imbalance

A key concept from intergovernmental fiscal relations is the vertical fiscal imbalance, where lower levels of government (like NCC) are responsible for service delivery but depend heavily on higher levels for funding. NCC relies on development grants from Dhaka, but these are often delayed or earmarked for specific projects, reducing financial flexibility.

c. Stakeholder Engagement and Public Value

Public resistance to tax increases shows a lack of stakeholder engagement and trust in government spending. According to Moore's Strategic Triangle, the government must align operational capacity, public value, and political legitimacy—NCC struggles particularly with public value and legitimacy due to perceived inefficiencies and corruption.

d. Performance Budgeting

NCC has attempted some form of program-based budgeting, but a lack of performance metrics makes it difficult to evaluate outcomes or improve accountability.

5. Recommendations

To address the budgetary dilemma, the following steps are recommended:

- Reassess and update property valuations to reflect market conditions.
- Digitize the tax collection system to reduce leakages and improve compliance.
- Broaden the tax base by identifying unregistered businesses and properties.
- Engage stakeholders through public forums and transparency measures to build trust.
- Advocate for greater fiscal autonomy from the central government, allowing NCC to adjust rates and introduce new local revenue tools.
- Implement performance-based budgeting with measurable outcomes to improve spending efficiency.

6. Conclusion

The budgetary dilemma facing Narayanganj City Corporation reflects broader challenges in urban governance in South Asia—limited revenues, high dependency, and growing service demands. By addressing structural weaknesses in its revenue system and improving governance, NCC can move toward a more sustainable and citizen-responsive budgeting process. Integrating stakeholder voices and applying public finance principles will be crucial for long-term success.